

ECON 0100 | Vignette B3 | Equilibrium

Due in Recitation. Vignettes are a certificate of the work done together in Recitation.

Members of the wizarding world have preferences for pumpkin pasties according to the following demand curve:

$$P_d = 14 - \frac{1}{2}Q_d \quad (1)$$

Pumpkin pasties are produced by many sellers according to the following supply curve:

$$P = 2 + \frac{1}{2}Q_s \quad (2)$$

Prices are in galleons and quantity is in pasties.

Q1 | Equilibrium

Find and plot the equilibrium price and quantity for pumpkin pasties.

Q2 | Surplus

Find and plot the consumer and producer surplus in the market equilibrium you found in Q1.